

Comparative Economics

Week 1 – October 2, 2026

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IES FSV UK

<https://dl1.cuni.cz/course/view.php?id=453>

26\$Inst1tutions

Lecturers

- Lecturer: Vilém Semerák
 - Research interests:
 - International trade (international economics) and global affairs
 - Chinese economy and Chinese reforms
 - Interested in the economic development of Myanmar and Vietnam
- Teaching assistant: Simon Basil
- Course moodle site:
<https://dl1.cuni.cz/course/view.php?id=453>
- Password for enrollment: **26\$Inst1tutions**
- Contact:
 - E-mail: vilem.semerak@fsv.cuni.cz
 - **Office hours:** Friday, 2:00 – 3:00 p.m. at IES 311 (or by appointment)

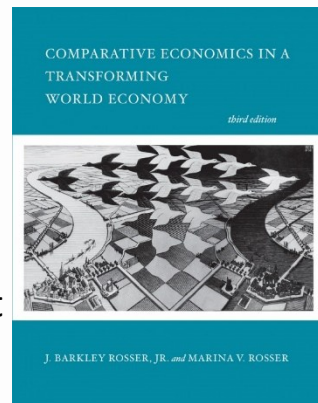
For PPE Students

- The role of the course has changed for you
- Unlike in previous years, the course Comparative Economics is **no longer in the compulsory category** for the latest cohorts of PPE students; it is an **elective course now** (elective course, group 1c).
- If in doubt, please check the "Karolinka":
<https://karolinka.fsv.cuni.cz/KFSV-1743.html>

Evaluation

- Four in-class summaries/commentaries (4x5% = 20%)
- Midterm exam (20%)
- Final exam (multiple-choice + essay) (60%)
- Up to 10% of the points not obtained for “summaries” and midterm exam can be compensated by activity during seminar sessions (or between them)
 - By this, we mean that you will read the assigned texts and you will be ready to discuss them
 - There may be some voluntary quizzes during the semester

Reading



- **Textbooks covering comparative economics more systematically:**
 - J. Barkley Rosser & Marina v. Rosser: Comparative Economics in Transforming World Economy, second or third edition. MITPress.
 - Paul R. Gregory and Robert C. Stuart: Comparing Economic Systems in the Twenty-First Century. Cengage Learning, 2003
- **Books on selected economic models or countries (selected chapters will be used):**
 - Daren Acemoglu & James A. Robinson (2020): The Narrow Corridor: States, Societies, and the Fate of Liberty
 - Daren Acemoglu & James A. Robinson (2013): Why Nations Fail: The Origins of Power, Prosperity, and Poverty
 - Gerard Roland: Development Economics, Pearson, 2014
 - Peter A. Hall & David Soskice (eds.): Varieties of Capitalism. Oxford University Press, 2001. – selected chapters
 - Anders Aslund: Russia's Crony Capitalism: The Path from Market Economy to Kleptocracy. Yale University Press, 2019
 - Yuen Yuen Ang: China's Gilded Age: The Paradox of Economic Boom and Vast Corruption. Cambridge University Press, 2020
 - Anders Aslund: How Capitalism Was Built. Cambridge University Press, 2nd edition, 2012
 - Thomas Orlik: China: The Bubble that Never Pops. Oxford University Press. 2020
- **A number of papers with additional details on each topic, for example:**
 - Djankov et al (2003): **The New Comparative Economics**. Journal of Comparative Economics 31 (2003) 595–619
 - Acemoglu & Robinson (2006): Paths of Social and Economic Development



JOURNAL OF COMPARATIVE ECONOMICS

The Journal of the Association for Comparative Economic Studies

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Comparative Economic Studies



Volume 68, Issue 3
September 2026

5 articles in this issue

Terrorism and domestic investment: empirical evidence and transmission mechanisms

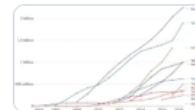
Charles Christian Atangana Zambo, Yves Patrice Etogo Nyaga & Bruno Emmanuel Ongo Nkoa

OriginalPaper | 25 August 2026 | Article: 24

Smartphones and Polarization: Cross-Country Evidence

Bernardo Mueller

OriginalPaper | 25 August 2026 | Article: 23



The Relationship Between Bank Capital and Lending Growth in Europe and MENA

Marwan Alzoubi & Mais Sha'ban

OriginalPaper | 24 July 2026 | Article: 22

Deposit Insurance and Financial Inclusion: Evidence from Comparative Analysis

Ibrahim Alley

OriginalPaper | 15 June 2026 | Article: 21

Exploring the Drivers of Decarbonization in the EU: The Impact of Economic Growth, Energy Use, Land Management and Urbanization on CO₂ Emissions

Jana Chovancová & Igor Petruška

OriginalPaper | Open access | 13 June 2026 | Article: 20



Background for This Session

- Main text: Rosser & Rosser – chapter 1: How do we compare economies
- Acemoglu & Robinson: Why Nations Fail, chapter 1
- Acemoglu & Robinson: The Narrow Corridor, chapter 1
- Roland: Development Economics: chapter 7 – Institutions and Economic Development
 - Basic overview of terminology, relevance of institutions (asymmetric information and other concepts)

Reading Assignment for the Next Session (October 9th)

- Roland – chapter 7: Institutions and Economic Development
 - What are institutions? What types does the author mention?
 - What is the hold-up problem?
 - How would you explain the commitment problem?
 - Why can imperfect institutions persist?
- Acemoglu & Robinson – Why Nations Fail, chapter 1: So Close and Yet So Different
 - What seem to be the main differences between the „Nogales“
 - What was the encomienda and how did it work?
 - Was encomienda or a similar system used in Jamestown?
 - What kind of important historical differences between Mexico and USA are explained in the text?
 - How did Carlos Slim become rich?
 - How do the authors understand institutions?
- **You do not have to submit these answers in writing, just be ready to answer (and discuss) them.**

Outline of the Session

- Introduction to Comparative Economics
 - Topics
 - Economic systems and their dimensions
 - Classifications
 - Dynamics of economic systems
- Seminar session
 - Problems with economic data under different economic systems

Introduction to Comparative Economics

A Quote on the Focus of Comparative Economics

- Traditional comparative economics, which dates back at least to the discussions of market socialism in the 1930s, ***studied under what circumstances either the plan or the market delivers greater economic efficiency.***

But the Something Happened

- 1990s: time of “Great Consensus”
 - Assumption: **Democracy** $\Leftrightarrow$ **market economy**
 - Fukuyama: “**End of History**” (1992/1989)
 - "What we may be witnessing is not just the end of the Cold War, or the passing of a particular period of post-war history, but the end of history as such: that is, the end point of mankind's ideological evolution and the universalization of Western liberal democracy as the final form of human government."
 - Universal approach to transition to market
 - Perhaps even rather consistent opinions on which market economy is the right one
 - Deregulation, liberalization, and privatization-based policies recommended
 - Implication: interest in different economic systems might have appeared to be motivated by interest in history

Another Quote...

- **If capitalism is triumphant, is comparative economics dead?**

What is “Comparative Economics” about?

- According to the Journal of Comparative Economics, the field and the topics evolved:
- Before 1989: **Comparison of different systems**
 - “the comparison of economic systems with in particular the economic analysis of socialism in its different forms”
- After 1989: **Focus on economic reforms**
 - “transition from socialism to capitalism”
- Recent focus: **Development and institutions**
 - “In recent years, mostly as a result of the transition experience, a new orientation of comparative economics has emerged that focuses on the comparison of the economic effects of the various institutions of capitalism, be it in the legal sphere (common law versus civil law), in the political sphere (different types of democracies and electoral regimes) or in the sphere of culture, social norms, etc.”

Mission Statement

*... by comparing alternative economic systems,
we can understand better what makes each of
them work.*

Current Comparative Economics

- See the topics of papers published in the journals
- Focus on institutions, specific patterns of behaviour and motivation
 - Plus some historical and descriptive papers too.

Possible Motivation for Our Course:

- We are interested in the logic of development of economic systems (dynamics, stability, determinants)
 - This includes our current models
- Viability of alternatives
 - It seems that quite a few people:
 - Are not quite happy about the performance of market economies
 - Are willing to tolerate or even demand alternatives to these systems
 - Then **we need to know whether such alternatives exist and how they performed!**
 - Advantages and problems of the alternatives
 - Empirical evidence and models rather than ideology!
- There are important actors in global economy (global political stage), who rely on economic models which differ from traditional market economy
 - Can we infer something about their future from the past performance of countries with similar models?

Other Motives?

- Definitely, some exist:
 - Data for testing/challenging our knowledge of economics
 - Transition as a **giant experiment** which can help us understand a lot about economics.
 - And especially about its hidden weaknesses...
 - **Surprises of transition**
 - Similar changes also provide business opportunities.
 - Opportunity to understand our own history (and present situation) a bit better.

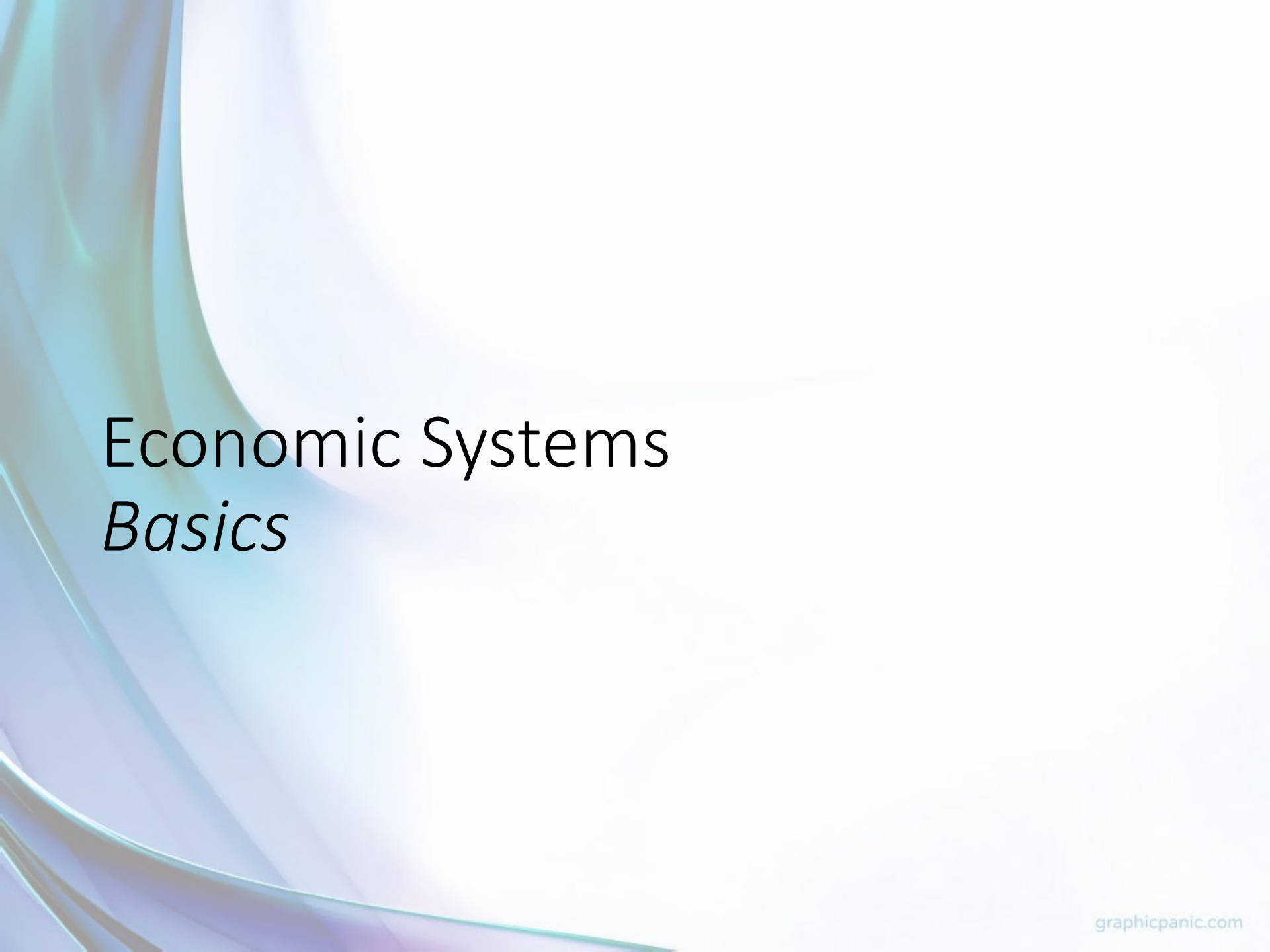
But what does it mean?

What are we going to do?

- What we would like to contribute to? I would like you to better understand:
 - The role of institutions in economic behaviour and economic dynamics.
 - The interaction between states and markets.
 - The main differences between market economies, centrally-planned systems, and state capitalism models.
 - The causes of problems of historical non-market systems. We will also discuss which of the problems might be relevant for the current mixed systems (state capitalism)
 - The differences between reform strategies applied by European transition economies and those used by China, Vietnam and selected other countries.
 - The causes and implications of the rise of oligarchic structures in post-socialist economies.
 - The differences in performance of transition economies of Central and Eastern Europe and reform economies of Asia.
 - Last but not least: learning more about the alternatives should help us understand market economies better too

Today: Introductory Overview

- Mapping the territory: basic concepts, definitions, ideas
- Issues neglected in mainstream economics, but very relevant for understanding economic performance of market and non-market economies:



Economic Systems

Basics

What do economic systems do?

- Overall framework within which households and firms exist
- Relevant for
 - Deciding what is to be produced
 - Organizing resources (human labor, energy sources, tools, machines building etc) for the production
 - Allocating the production results
 - Allocating savings/investment
 - Providing legitimacy for the economic distribution

How much different can an economic system be?

- Almost any institutional arrangements and parameters can be changed:
 - Ownership rights
 - Am I sure that I will own/control my assets tomorrow too?
 - Labor markets
 - How about making working mandatory?
 - Financial markets
 - Do we need stock markets and bond markets?
 - Can we reduce the risks of misallocation (and e.g. of inadequate pricing of risk) by replacing the market with some centralized body which decides about future investment?
 - Companies
 - How about nationalizing all companies and putting them all under some sort of central coordination and control?
 - Or how about creating special worker managed companies where councils representing workers take key decisions?
- But of course: only some combinations appear to be viable and reasonably stable in the long run
- Funnily enough: some aspects of human behavior appear to be rather stable and much more difficult to change!
 - They adjust to (or are formed by) institutions (and contribute to formation in turn).

Why does the System Matter?

- It is not only about an adjective, differences amongst the systems have deeper consequences
 - Seemingly strange behavior of economic agents coming from countries with these systems
 - Existence of “non-market solutions”
 - The economies can be to some extent more resilient towards some economic shocks (think about China and 2008/9 financial crisis), but more vulnerable to other ones

How do we Classify Economic Systems?

Traditional approach

Based on Rosser & Rosser (chapter 1)

1. Allocation mechanism

- Traditional (custom)
- Market exchange
- Command

2. Forms of ownership of means of production

- State (local or centralized)
- Private
- Other (religious authorities)

Relationship between ownership and allocation mechanism?

		Allocation mechanism	
		Central Plan	Market
Ownership	State / public	Socialist economy	Market socialism (Yugoslavia)
	Private	e.g. Nazi Germany	Free market

Stability of other arrangements?

How do we Classify Economic Systems? (2)

4. Role of planning

- Pure market economy (planning at the level of firms or in very specific cases – infrastructure)
- Planned market economy (indicative planning)
- Centrally-planned economy
- Command economy without planning

5. Types of incentives

- Material incentives
- Moral incentives (“serve the people”)

How do we Classify Economic Systems? (3)

6. Income redistribution and nature of social safety nets

- Level of income differentiation generated by the system
- Level of income differences considered appropriate (just)

7. Political and ideological system

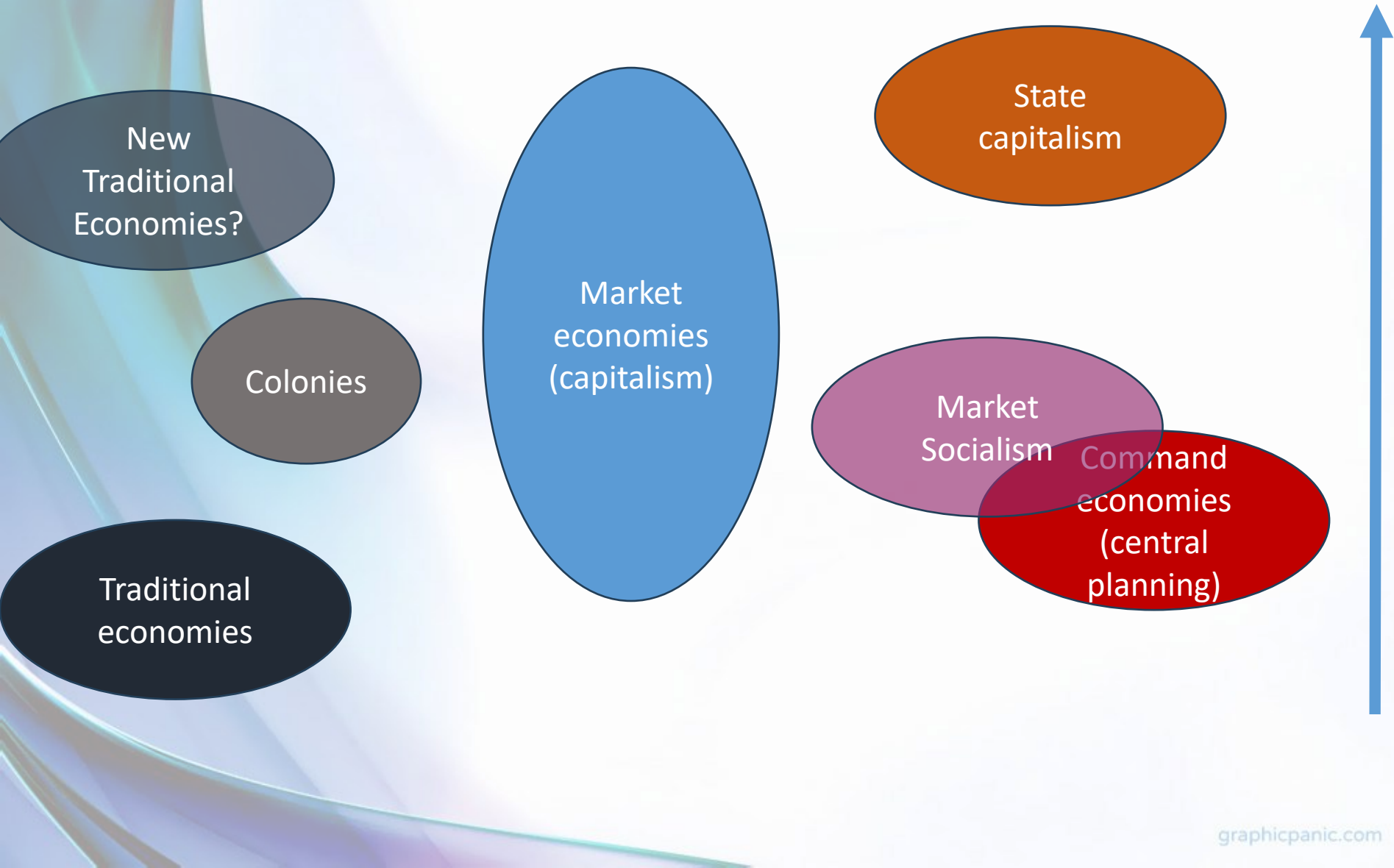
- Are political and economic systems linked?
- Liberal democracy vs. dictatorship vs. socialism/communism vs. theocracy

Alternative Set of Criteria

Source: Neuberger – “Comparing Economic Systems”

- Decision-making structure
- Information structure
- Motivation structure
- Coordination system

Types of Systems: A Possible Traditional Overview



Historical Perspective

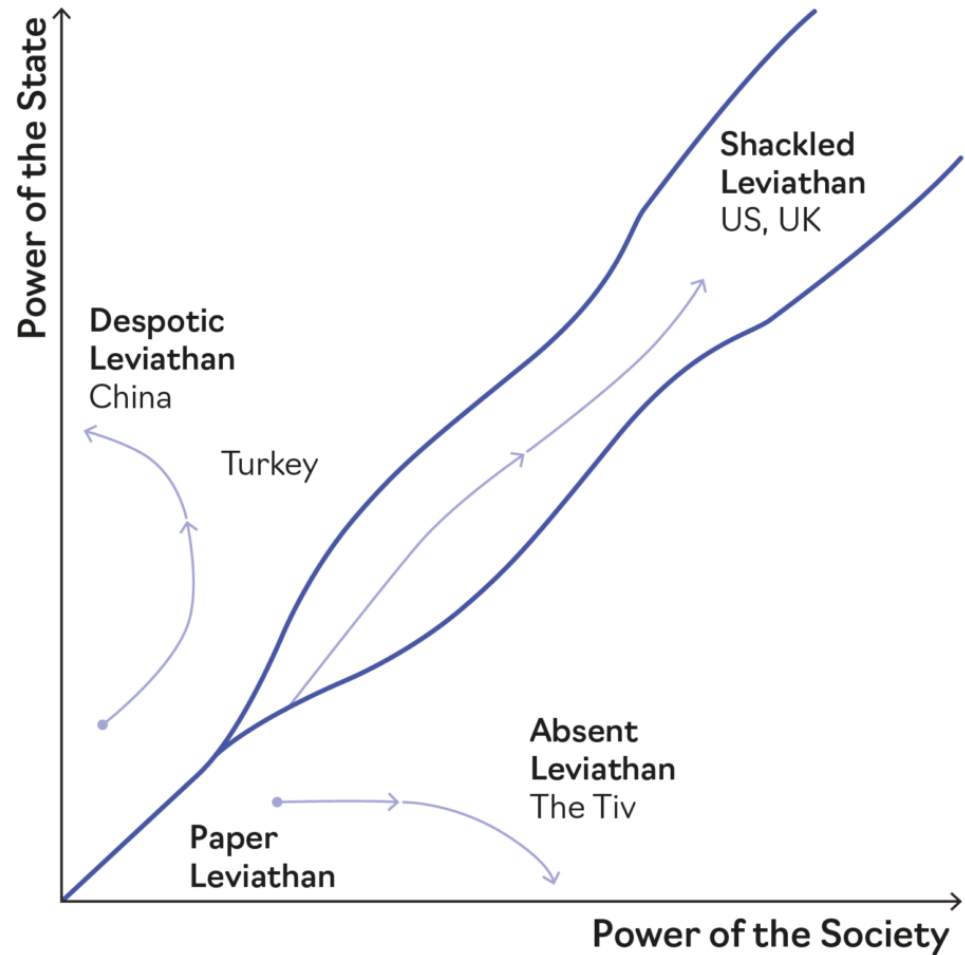
- Historical process:
 - Not necessarily linear or unique:
- Traditional societies → Feudalism → Capitalism (market economy) →
 - Debate/struggle over alternatives → alternatives shape each other →
 - Market economy? → ?
- There is some endogeneity and uncertainty
 - Original ideas about economic transition in CEE countries (and reforms in China)
 - 1990s expectations: Central planning (or a similar system) → **market economy**
 - Reality?
 - Central planning (or a similar system) → **state capitalism** (China)
 - Central planning → **attempt at market economy** → state capitalism (Russia)
 - Market economy with authoritarian features → state capitalism

Problems with Comparison and Dynamics of the Systems

- One class of problem:
 - Role of cumulative processes and path dependence
 - Role of formal and informal power/influence
- Survivorship bias
 - We have the tendency to assume that the observed form e.g. of traditional societies is the original one
 - Although it might be more complicated – are not we observing the societies where some factor prevented an evolution into another form
 - Some form of Despotic State or market economy with „Shackled Leviathan“

Acemoglu & Robinson: Narrow Corridor Idea

Figure 1. The framework from *The Narrow Corridor*



What are the Options?

- Absent Leviathan
- Despotic Leviathan
- Shackled Leviathan

How do the changes happen?

- Four “small” problems for economists:
 - There did not have to be any deliberate decision to change a moment, indeed we might not even have consensus over when the change started
 - When the moment can be defined, the decision to introduce the alternative system was often not voluntary
 - E.g. the socialist system with central planning was imposed on most countries of the Soviet bloc by the USSR
 - Colonies
 - Design of the models was also motivated by non-economic purposes
 - Authoritarian regimes
 - War economy
 - Survival/stability of the system does not depend only on its economic performance, in fact, authoritarian systems might be able to use non-economic “stabilization instruments”
 - These factors are extremely important for both evaluating performance of the system and for explaining its demise
 - **DPRK:** is it really a failure (from the perspective of economic efficiency) or or a preferred option from the perspective of Kim and his cronies?
 - **China:** it might have been the relevance of the non-economic objectives which caused that most of our original predictions for the future development of Chinese society appear to be desperately wrong now...

Traditional Approaches

- Traditional (descriptive) approaches attempting to explain international differences often focused on
 - Geography?
 - Culture
 - Ignorance hypothesis
 - Technology
- Acemoglu & Robinson: Why Nations Fail
 - Chapter 2: “Theories that don’t work”

Ignorance Hypothesis

- Countries are poor because their leaders tend to have the same mistaken views of how to run their countries...
 - We are simply lucky because the West had better leaders?

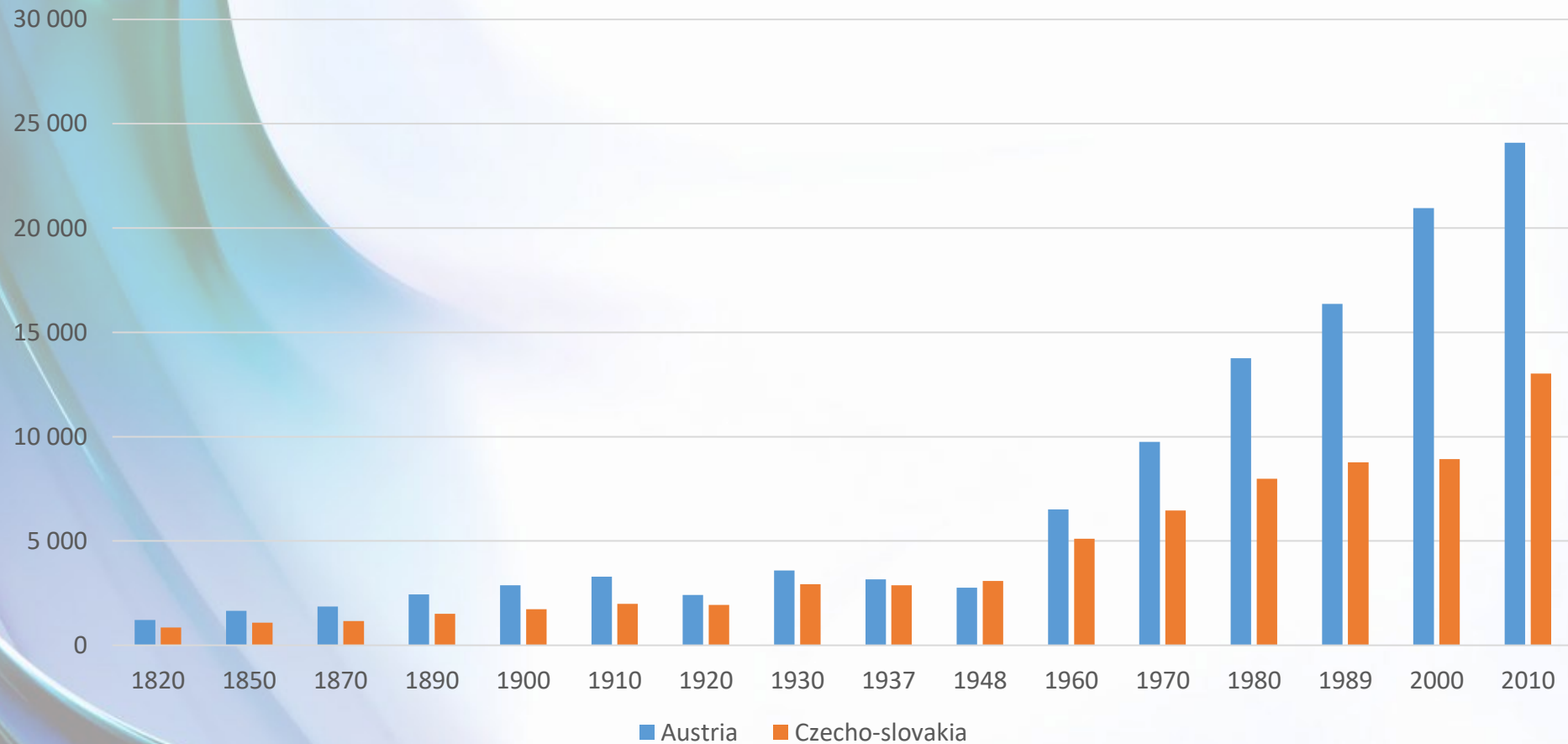
Geography

- Montesquieu's Climate Theory
 - 1748 – The Spirit of the Laws
 - Hot climates relax body fibers and drain physical energy, which makes people in southern regions lethargic, passive, and disinclined to work without external compulsion.
- A. Smith
 - The physical geography of a region can influence its economic performance.
 - The economies of coastal regions, with their easy access to sea trade, usually outperform the economies of inland areas
- A modern version of Montesquieu
 - Less deterministic – e.g. assuming that Southern countries face some intrinsic disadvantage caused by climate
 - E.g diseases (Sachs & Gallup, 2001)
 - Or agriculture
 - Tropical soils do not allow for productive agriculture.
 - Diamond: different historical endowments of plant and animal species, which subsequently influenced agricultural productivity.
 - E.g. Fertile crescent in the Middle East
- Problem – we have quite a few cases of differentiated development that cannot be explained by this
 - Acemoglu & Robinson – the case of Nogales
 - And how about e.g. Singapore?

Economic development under different systems

Czechoslovakia and Austria

GDP per capita, 1990 international GK\$



Source: The Maddison-Project, <http://www.ggdc.net/maddison/maddison-project/home.htm>, 2013 version

GDR: Official and Re-Estimated Growth Rates 1950-1989

	GNP	GNP per capita
Federal Republic of Germany	4.2	3.6
German Democratic Republic		
- Official statistics (NMP)	5.6	5.9
- Based on 1989 GNP, at 1 Mark/DM	1.6	1.9
- Based on 1989 GNP, at 4.4 Mark/DM	-2.2	-1.9

Culture

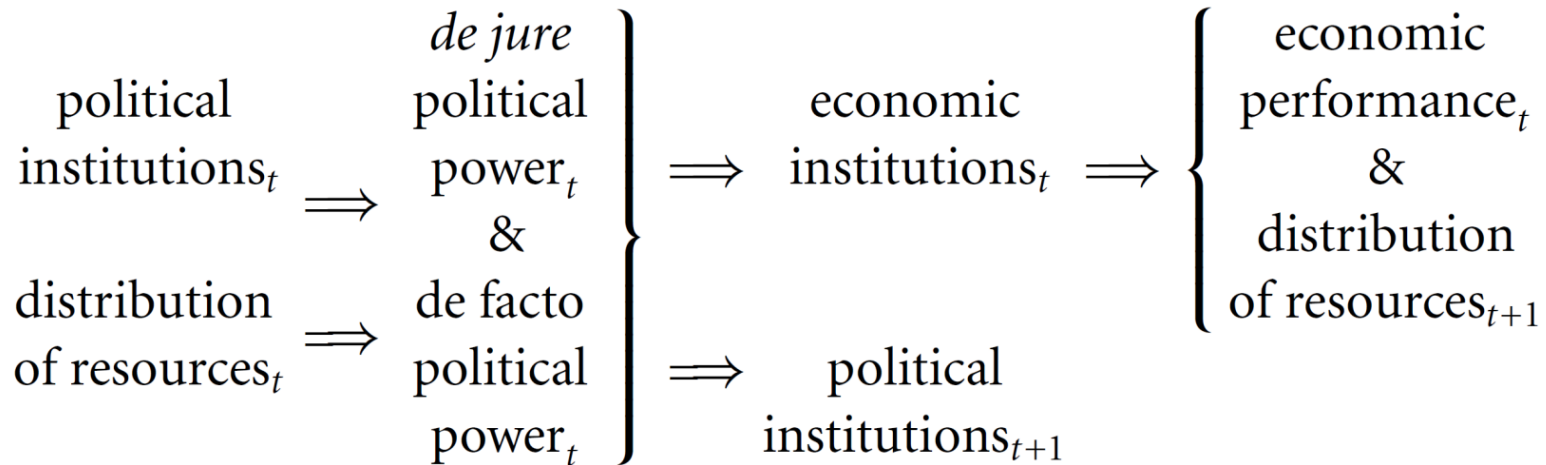
- Religion, beliefs, values, ethics
- Max Weber: Protestant Reformation and Protestant ethic
- Do some countries have culture that implies poor work ethic (and hence poverty)?
- Well, again – how about the previous examples?
- Or how about China, Hong Kong and Singapore?
 - Some early thinkers like Max Weber viewed some features of Confucianism as permanent roadblocks to capitalism
 - 1950s
- Current position:
 - Most of these ideas stereotypical and not supported by evidence
 - But: the extent to which people trust each other or are able to cooperate, are important
 - but they are mostly an outcome of institutions, not an independent cause

Determinants of Economic Systems (and of Changes in Models) (2)

- Much of current research focused on institutions
 - Economic institutions
 - Political institutions
 - Cultural institutions
- **Ability to change the institutions?**
 - *Evolution*
 - *Collective action*
 - **Distribution of power**
 - **Distribution of wealth (real control over resources)**

Determinants of Economic Systems (2) (and of Changes in Models)

- An interesting framework: Acemoglu and Robinson (2006)



Endogeneity & path dependence

Seminar Session

Let us look at Some Informal Examples First

- **How do economic agents (people, companies) behave in these different systems?**

Instability and Economic Decisions

- From Acemoglu & Robinson (The Narrow Corridor):
 - *Corpses are not an unusual sight in Lagos. When a senior policeman went missing, the police searched the waters under a bridge for his body.*
 - *They stopped looking after six hours and twenty-three corpses, none of them the one they were seeking....*
 - *While the Nigerian military looted the country, Lagosians had to do a lot of fending for themselves. The city was crime ridden and the international airport was so dysfunctional that foreign countries banned their airlines from flying there.*
 - *Gangs called “area boys” preyed on businessmen, shaking them down for money and even murdering them.*
 - **How would you behave, if you get \$1000 in this kind of economy?**

Importance of Institutions (2)

Nihil Novi Sub Sole

- *“in all countries where there is tolerable security [of property], every man of common understanding will endeavor to employ whatever [capital] stock he can command. . . **In those unfortunate countries. . . where men are continually afraid of the violence of their superiors, they frequently bury and conceal a great part of their [capital] stock. . . in case of their being threatened with any of those disasters to which they consider themselves as at all times exposed.**”*

Smith (1776, pp. 284–285)

Example II:

Let's Consider a Simple Problem:

- You would like to get a new windshield wiper for your car
- How do you do it?
 - USA
 - USSR or Eastern Europe before 1989
- What is the problem?
 - Do standard markets exist?
 - Are people motivated to rely on markets or might they want to use different channels?



Example II: Protection of Ownership (and just Ownership) Rights

- **A very specific feature of Chinese economy**
 - Especially in the past: incomplete and unclear rules
 - **Absence of independent judiciary**
 - Problems with effectiveness and unbiasedness of police investigation
 - A strong “motivation” of the accused to confess to a something that they are not responsible for
 - Inconsistency in application and interpretation
 - Uncertainty for citizens
 - Even more so because indirect effects are possible (next slide)
 - Uncertainty and additional costs for firms (including foreign companies)
- Implications:
 - Searching for an alternative forms of “protection”
 - “Networking” (motivation to continue relying on the tradition of “*guanxi*”)
 - Within party
 - Fractions and groups
 - Unwillingness to cede power and control to somebody else (or to liberalize)

In Depth: Punishing People for Their Relatives' Crimes Comes Under Scrutiny in China

By Huang Yuxin and Kelly Wang

 Gift this article

Legal experts in China are pushing to reform a longstanding practice that can cause law-abiding citizens to lose their shot at joining the civil service, getting into certain university programs or the military if they happen to be related to a convicted criminal.

The reform push has the potential to curtail the practice — known as collective punishment — that has been criticized for violating basic legal norms and putting a vast share of China's population at risk of being punished for the actions of another.

China had nearly 25 million recorded criminal offenders from 2000 to 2022, according to data from the National Bureau of Statistics. If each one had an average of just three relatives, some 100 million people would be at risk of repercussions from collective punishment. That's one out of every 14 people in China.

References

- Rosser & Rosser (2003 or newer): Comparative Economics in a Transforming World Economy – chapter 1: How do we compare economies?
- Acemoglu & Robinson (2006): Paths of Political and Economic Development.
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 - <http://www.cas.umn.edu/wp921.htm>
- D.H. Aldcroft: The European Economy 1914-2000
- A. Aslund: chapter 1